

TABLE 14-5 Data on a Second List of Public-Utility Stocks at September 30, 1971

	Price Sept. 30, 1971	Earned	Dividend	Book Value	Price/ Earnings	Price/ Book Value	Div. Yield	Earns. Per Share 1970 vs. 1960
Alabama Gas	15%	1.50	1.10	17.80	10 X	87%	7.1%	+34%
Allegheny Power	22%	2.15	1.32	16.88	10	134	6.0	71
Am. Tel. & Tel.	43	4.05	2.60	45.47	11	95	6.0	47
Am. Water Works	14	1.46	.60	16.80	10	84	4.3	187
Atlantic City Elec.	20%	1.85	1.36	14.81	11	138	6.6	74
Baltimore Gas & Elec.	20%	2.85	1.82	23.03	11	132	6.0	86
Brooklyn Union Gas	23%	2.00	1.12	20.91	12	112	7.3	29
Carolina Pwr. & Lt.	22%	1.65	1.46	20.49	14	110	6.5	39
Con. Hudson G. & E.	22%	2.00	1.48	20.29	11	110	6.5	13
Con. Ill. Lt.	25%	2.50	1.56	22.16	10	114	6.5	55
Con. Maine Pwr.	17%	1.48	1.20	16.35	12	113	6.8	62
Cincinnati Gas & Elec.	22%	2.20	1.56	16.13	11	145	6.7	102
Consumers Power	29%	2.80	2.00	32.59	11	90	6.8	89
Dayton Pwr. & Lt.	23	2.25	1.66	16.79	10	137	7.2	94
Delmarva Pwr. & Lt.	16%	1.55	1.12	14.04	11	117	6.7	78
Average	23%	2.15	1.50	21.00	11 X	112%	6.5%	+71%

For the defensive investor the central appeal of the public-utility stocks at this time should be their availability at a moderate price in relation to book value. This means that he can ignore stockmarket considerations, if he wishes, and consider himself primarily as a part owner of well-established and well-earning businesses. The market quotations are always there for him to take advantage of when times are propitious—either for purchases at unusually attractive low levels, or for sales when their prices seem definitely too high.

The market record of the public-utility indexes—condensed in Table 14-6, along with those of other groups—indicates that there have been ample possibilities of profit in these investments in the past. While the rise has not been as great as in the industrial index, the individual utilities have shown more price stability in most periods than have other groups.* It is striking to observe in this table that the relative price/earnings ratios of the industrials and the utilities have changed places during the past two decades. These reversals will have more meaning for the active than for the passive investor. But they suggest that even defensive portfolios should be changed